

In Trading Tactics later in this chapter, I'll discuss the measure rule. Suppose it says that a \$40 stock stands a good chance of rising \$10.50 in a bull market. That's a 26% move. Is that realistic? The table shows that 55% of the time, price will fail to rise more than 25% (the closest entry to 26%). Thus, you'll have a losing trade more often than a winning one, all else being equal.

[**Table 65.4**](#) shows breakout-related statistics.

[**Table 65.3**](#) Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	163 or 22%	34 or 22%	151 or 23%	28 or 13%
10	92 or 35%	28 or 39%	145 or 46%	33 or 28%
15	59 or 43%	23 or 54%	85 or 59%	38 or 46%
20	56 or 50%	12 or 62%	86 or 72%	14 or 52%
25	34 or 55%	10 or 68%	58 or 81%	27 or 65%
30	41 or 60%	8 or 73%	38 or 87%	16 or 72%
35	28 or 64%	7 or 78%	26 or 91%	16 or 80%
50	99 or 78%	13 or 86%	44 or 97%	30 or 94%
75	54 or 85%	12 or 94%	15 or 100%	14 or 100%
Over 75	111 or 100%	10 or 100%	2 or 100%	0 or 100%